Weak convergence of a fast mean-reverting rough Heston model with jumps to a general class of Lévy processes

Martin Forde

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Abstract

We show weak convergence of the marginals for a fast-mean reverting/large vol-of-vol rough Heston model to a Normal Inverse Gaussian (NIG) Lévy model. This shows we can obtain a such a limit without having to impose that the true H for the model is $\frac{1}{2}$ as in [AC24][1], or that $H \searrow -\frac{1}{2}$ as in [AAR25], so the result potentially has increased financial relevance. We also extend the result to the case when the V process has jumps, where we show weak convergence of the finite dimensional distributions of V to the inverse of the minimum process for a more general class of Lévy processes.

1 Introduction

We work on a probability space $(\Omega, \mathcal{F}, \mathbb{Q})$ throughout with filtration $(\mathcal{F}_t)_{t\geq 0}$ satisfying the usual conditions.

Proposition 1.1 *Consider a re-scaled rough Heston model for a log stock price process X_t^ε:*

$$\begin{aligned} dX_t^\varepsilon &= -\frac{1}{2}V_t^\varepsilon dt + \sqrt{V_t^\varepsilon}dB_t \\ V_t^\varepsilon &= V_0 + \frac{1}{\Gamma(\alpha)}\int_0^t (t-s)^{\alpha-1}(\frac{1}{\varepsilon}\lambda(\theta - V_s^\varepsilon)ds + \frac{1}{\varepsilon}\nu\sqrt{V_s^\varepsilon}dW_s) \end{aligned}$$

where B and W are two correlated Brownian motions with $dB_t dW_t = \rho dt$ with $\rho \in [-1,0]$, $\alpha \in (\frac{1}{2}, 1]$ and $\lambda > 0$. Then (for t fixed) X_t^ε tends weakly to X_t as $\varepsilon \to 0$, where X is a Normal Inverse Gaussian Lévy process which does not depend on $H = \alpha - \frac{1}{2}$.

Proof. Let $I^\alpha(f)(t) = \frac{1}{\Gamma(\alpha)}\int_0^t (t-s)^{\alpha-1}f(s)ds$ denote the αth-order fractional derivative of a function f for $\alpha \in (0,1]$, and (without loss of generality), we assume $X^\varepsilon = 0$. Then for p in some interval $I = (p_-(t), p_+(t))$ with $[0,1] \subset I$, we know that

$$\mathbb{E}(e^{pX_t^\varepsilon}) = e^{V_0 I^{1-\alpha}\phi_\varepsilon(t) + \frac{1}{\varepsilon}\lambda\theta I^1\phi_\varepsilon(t)} \tag{1}$$

where ϕ_ε satisfies the non-linear Volterra integral equation (VIE):

$$\phi_\varepsilon(t) = \frac{1}{\Gamma(\alpha)}\int_0^t (t-s)^{\alpha-1}(\frac{1}{2}(p^2-p) + \frac{1}{\varepsilon}(\rho p\nu - \lambda)\phi_\varepsilon(s) + \frac{1}{\varepsilon^2}\frac{1}{2}\nu^2\phi_\varepsilon(s)^2)ds$$

(see e.g. section 4 in [ER19]). Now let $\phi_\varepsilon(t) = \varepsilon\psi(\varepsilon^q t)$. Then

$$\begin{aligned} \varepsilon\psi(\varepsilon^q t) &= \frac{1}{\Gamma(\alpha)}\int_0^t (t-s)^{\alpha-1}(\frac{1}{2}(p^2-p) + (\rho p\nu - \lambda)\psi(\varepsilon^q s) + \frac{1}{2}\nu^2\psi(\varepsilon^q s)^2)ds \\ &= \frac{1}{\Gamma(\alpha)}\int_0^{\varepsilon^q t} (t - u\varepsilon^{-q})^{\alpha-1}(\frac{1}{2}(p^2-p) + (\rho p\nu - \lambda)\psi(u) + \frac{1}{2}\nu^2\psi(u)^2)du\,\varepsilon^{-q} \\ &= \frac{\varepsilon^{-q(\alpha-1)}}{\Gamma(\alpha)}\int_0^{\varepsilon^q t} (\varepsilon^q t - u)^{\alpha-1}(\frac{1}{2}(p^2-p) + (\rho p\nu - \lambda)\psi(u) + \frac{1}{2}\nu^2\psi(u)^2)du\,\varepsilon^{-q} \end{aligned}$$

where we set $\varepsilon^q s = u$ in the second line, so $\varepsilon^q ds = du$. Then setting $\varepsilon^q t \mapsto t$, we see that

$$\varepsilon\psi(t) = \frac{\varepsilon^{-q\alpha}}{\Gamma(\alpha)}\int_0^t (t-u)^{\alpha-1}F(\psi(u))du \tag{2}$$

[1] The H parameter in [AC24] is not fixed to be $\frac{1}{2}$, but the Hurst exponent for their family of V^ε processes is of course $\frac{1}{2}$ since the models are all standard Heston for $\varepsilon > 0$.

where $F(w) = \frac{1}{2}(p^2 - p) + (\rho p\nu - \lambda)w + \frac{1}{2}\nu^2 w^2$, and if now let $q = -\frac{1}{\alpha}$, the VIE is independent of ε, so $\phi_\varepsilon(t) = \varepsilon\psi(\frac{t}{\varepsilon^{\frac{1}{\alpha}}})$. Hence (from the arguments in Proposition 4.2 in [FGS21]) since $(p_-, p_+) \subseteq (p_-(t), p_+(t))$ we see that

$$\lim_{\varepsilon\to\infty} \frac{1}{\varepsilon}\phi_\varepsilon(t) \quad = \quad \lim_{t\to\infty} \psi(t) \quad = \quad \psi(\infty) \quad = \quad U_1(p) \quad = \quad \frac{1}{\nu^2}[\lambda - p\nu\rho - \sqrt{\lambda^2 - 2\lambda\rho\nu p + \nu^2 p(1-\bar{\rho}p)}] \qquad (\varepsilon \to 0)$$

for $p \in [p_-, p_+]$, where $\psi(\infty)$ is the smallest root w_* of $G(w) = \frac{1}{2}(p^2 - p) + (\rho p\nu - \lambda)\nu w + \frac{1}{2}\nu^2 w^2$ (which is the stable equilibrium point since $G'(w_*) < 0$, and $\bar{\rho}^2 = 1 - \rho^2$, $p_\pm = \frac{\nu - 2\lambda\rho - \sqrt{4\lambda^2 \pm \nu^2 - 4\lambda\rho\nu}}{2\nu(1-\rho^2)}$, and note the convergence here is rapid for $\varepsilon \ll 1$. Then for the exponent in (1) we see that

$$V_0 I^{1-\alpha}\phi_\varepsilon(t) + \frac{\lambda\theta}{\varepsilon} I^1 \phi_\varepsilon(t) \quad \to \quad \lambda\theta U_1(p)t$$

as $\varepsilon \to 0$, and $\lambda\theta U_1(p)t$ is the log mgf of a Normal Inverse Gaussian Lévy process (see e.g. Remark 2.3 in [FJ11]). Then from e.g. the solution to Problem 30.4 in Billingsley[Bill86] (which is also used in [GK19]), X_t^ε tends weakly to the marginal law of an NIG process. ■

1.1 Adding jumps into the V^ε process

If we add a (re-scaled) independent jump component into the V^ε process as in Eq 1 in [BPS24], then (from Theorem 3 in [BPS24], see also slide 6 in [Cuch22]), then $F(\psi(u))$ in (2) has an additional term

$$V_\varepsilon(\varepsilon\psi(u))$$

where $V_\varepsilon(p) := \int (e^{pz} - 1 - p|z|)\nu(\varepsilon dz)$ is the log mgf of the re-scaled Lévy component, so

$$V_\varepsilon(\varepsilon p) \quad = \quad \int (e^{p\varepsilon z} - 1 - \varepsilon p|z|)\nu(\varepsilon dz) \quad = \quad \int (e^{px} - 1 - p|x|)\nu(dx) \quad = \quad V_1(p)\,.$$

In this case $\frac{1}{\varepsilon}\phi_\varepsilon(t)$ tends to the smallest root of $F_J(u) = \frac{1}{2}(p^2 - p) + (\rho p\sigma - \lambda)u + \frac{1}{2}\sigma^2 u^2 + V_1(u)$, assuming a root still exists, and note V_1 (and F_J) are convex (see e.g. Lemma 2.2.5 in [DZ98]).

From here on, we assume $\nu = \nu(z)dz$ only has non-negative support and $\nu(z) \le \frac{Ce^{-Mz}}{|z|^{1+Y}}$ for some $M > 0$ and $Y \in (0, 2)$. Then for a spectrally positive Lévy process Z with Lévy triple (b, σ^2, ν) with $b = \rho p\sigma - \lambda$, we know that $\mathbb{E}(e^{uZ_t}) < \infty$ for $u < M$, and (for u in this range) $e^{uZ_t - \Lambda(u)t}$ is an $\mathcal{F}^Z$-martingale

Let $\Lambda(u) = bu + \frac{1}{2}\sigma^2 u^2 + V_1(u)$. Hence from the optional stopping theorem

$$\mathbb{E}(e^{-qH_a}) \quad = \quad e^{-\Phi(q)a} \quad = \quad e^{\Phi(q)|a|} \tag{3}$$

for $q \ge 0$ and $a < 0$ where $H_a = \inf\{t \ge 0 : Z_t < a\}$ and $\Phi(q) \le 0$ is smallest root of $\Lambda(u) = q$ (since we have a *lower* barrier here), see e.g. Eq 2.5 in [KKR13] for details and the limiting argument using the dominated convergence theorem [2], and (3) also holds for $q < 0$ if q is greater than the minimum value attained by $\Lambda(.)$.

If we now let $W_t^{(-\frac{1}{2})} = W_t^\perp - \frac{1}{2}t$ where $W^\perp$ is another Brownian motion independent of Z and everything else, then for p in some non-zero interval around zero, we see that

$$\mathbb{E}(e^{pW_{H_{-t}}^{(-\frac{1}{2})}}) \quad = \quad \mathbb{E}(e^{\frac{1}{2}(p^2-p)H_{-t}}) \quad = \quad e^{t\Phi_p(-\frac{1}{2}(p^2-p))} \tag{4}$$

and $\Phi_p(-\frac{1}{2}(p^2 - p))$ is the smallest root of F_J (note that H_{-t} also depends on p here since $b = \rho p\sigma - \lambda$).

(4) is the mgf of $\eta_{\tau_t^-}$, where $\eta_t = W_t - \frac{1}{2}t$ and $\tau_t^- = \inf\{s : \xi_s < -t\}$, where $\xi_t = -\lambda t + \sigma(\rho W_t + \bar{\rho}B_t) + J_t$, where J is an independent spectrally positive Lévy process with $\log \mathbb{E}(e^{uJ_1}) = V_1(u)$.

To see this, we note that the joint mgf of (ξ_1, η_1) is

$$\Psi(u, p) \quad = \quad \log \mathbb{E}(e^{u\xi_1 + p\eta_1}) \quad = \quad \Lambda_p(u) + \frac{1}{2}(p^2 - p)$$

with $\Lambda_p(u) = -\lambda u + \frac{1}{2}\sigma^2 u^2 + V_1(u) + \rho\sigma p u$. Now define $\kappa(p)$ by the branch through zero:

$$\Lambda_p(\kappa(p)) + \frac{1}{2}(p^2 - p) \quad = \quad 0$$

with $\kappa(0) = 0$. Then $\kappa(p) = \Phi_p(-\frac{1}{2}(p^2 - p))$, and

$$\mathbb{E}(e^{\kappa(p)\xi_{\tau_t^-} + p\eta_{\tau_t^-}}) \quad = \quad \mathbb{E}(e^{-\kappa(p)t + p\eta_{\tau_t^-}}) \quad = \quad 1$$

so

$$\mathbb{E}(e^{p\eta_{\tau_t^-}}) \quad = \quad e^{\kappa(p)t}$$

assuming $\tau_t^- < \infty$ a.s., which is true if $\Lambda_0'(0+) \le 0$, where $\Lambda_0(u) = -\lambda u + \frac{1}{2}\sigma^2 u^2 + V_1(u)$.

[2] in [KKR13] they take the largest root since they are considering an upper barrier

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